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2025 First Quarter Earnings Conference

April 17, 2025

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Agenda

• Welcome	Jeff Su, IR Director
• 1Q25 Financial Results and 2Q25 Outlook	Wendell Huang, CFO
• Key Messages	Wendell Huang, CFO
	C.C. Wei, Chairman & CEO
• Q&A	

Safe Harbor Notice

- TSMC's statements of its current expectations are forward-looking statements subject to significant risks and uncertainties and actual results may differ materially from those contained in the forward-looking statements.
- Information as to those factors that could cause actual results to vary can be found in TSMC's 2023 Annual Report on Form 20-F filed with the United States Securities and Exchange Commission (the "SEC") on April 18, 2024 and such other documents as TSMC may file with, or submit to, the SEC from time to time.
- Except as required by law, we undertake no obligation to update any forward-looking statement, whether as a result of new information, future events, or otherwise.

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Statements of Comprehensive Income

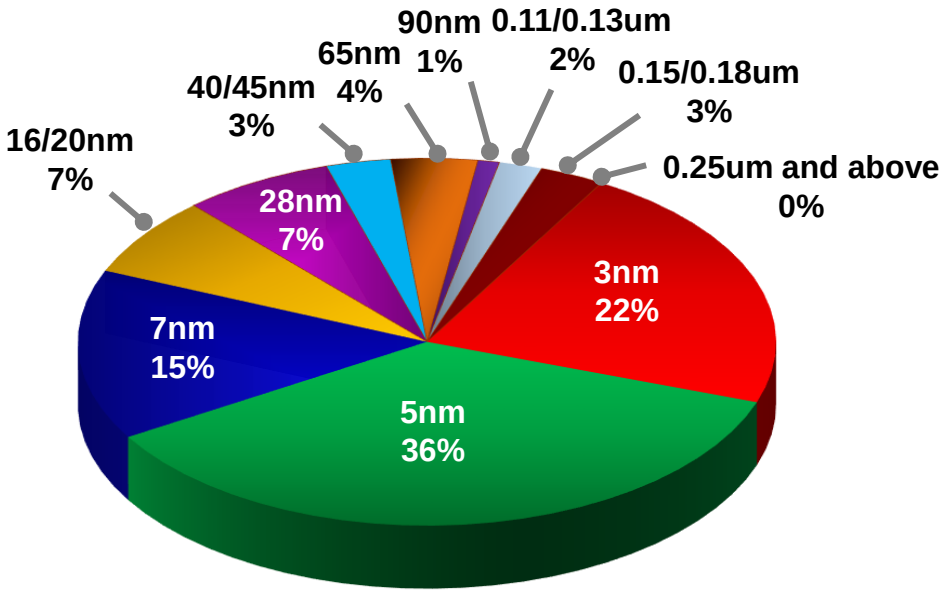
Selected Items from Statements of Comprehensive Income

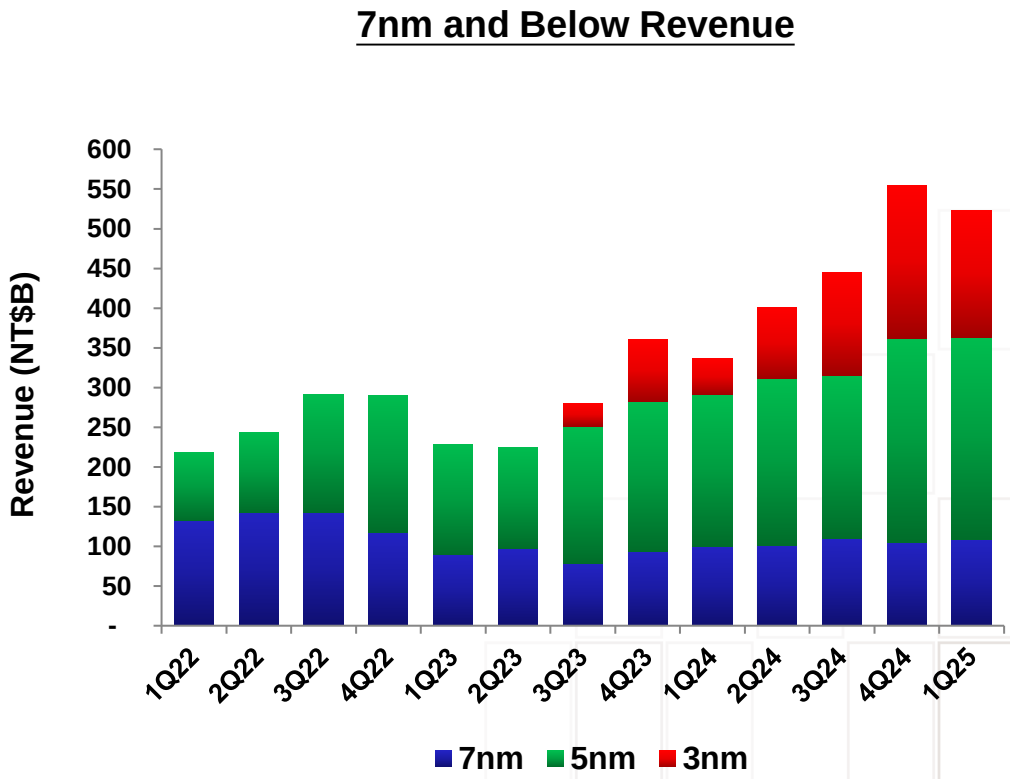
(In NT$ billions unless otherwise noted)	1Q25	1Q25 Guidance	4Q24	1Q24	1Q25 Over 4Q24	1Q25 Over 1Q24
Net Revenue (US$ billions)	25.53	25.0-25.8	26.88	18.87	-5.1%	+35.3%
Net Revenue	839.25		868.46	592.64	-3.4%	+41.6%
Gross Margin	**58.8%**	**57.0%-59.0%**	**59.0%**	**53.1%**	**-0.2 ppt**	**+5.7 ppts**
Operating Expenses	(85.19)		(86.34)	(65.36)	-1.3%	+30.3%
Operating Margin	**48.5%**	**46.5%-48.5%**	**49.0%**	**42.0%**	**-0.5 ppt**	**+6.5 ppts**
Non-Operating Items	23.82		23.09	17.52	+3.2%	+35.9%
Net Income Attributable to Shareholders of the Parent Company	361.56		374.68	225.49	-3.5%	+60.3%
Net Profit Margin	**43.1%**		**43.1%**	**38.0%**	**0.0 ppt**	**+5.1 ppts**
EPS (NT Dollar)	13.94		14.45	8.70	-3.5%	+60.4%
ROE	32.7%		36.2%	25.4%	-3.5 ppts	+7.3 ppts
Shipment (Kpcs, 12"-equiv. Wafer)	3,259		3,418	3,030	-4.7%	+7.6%
Average Exchange Rate--USD/NTD	32.88	32.8	32.30	31.40	+1.8%	+4.7%

* Diluted weighted average outstanding shares were 25,929mn units in 1Q25

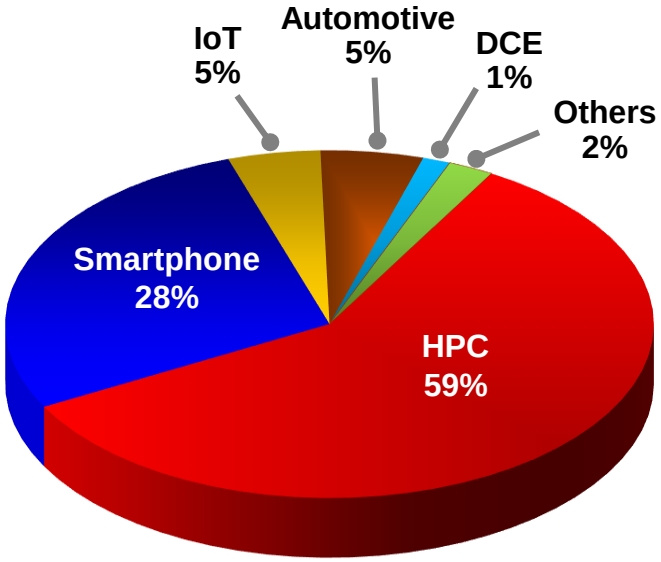
** ROE figures are annualized based on average equity attributable to shareholders of the parent company

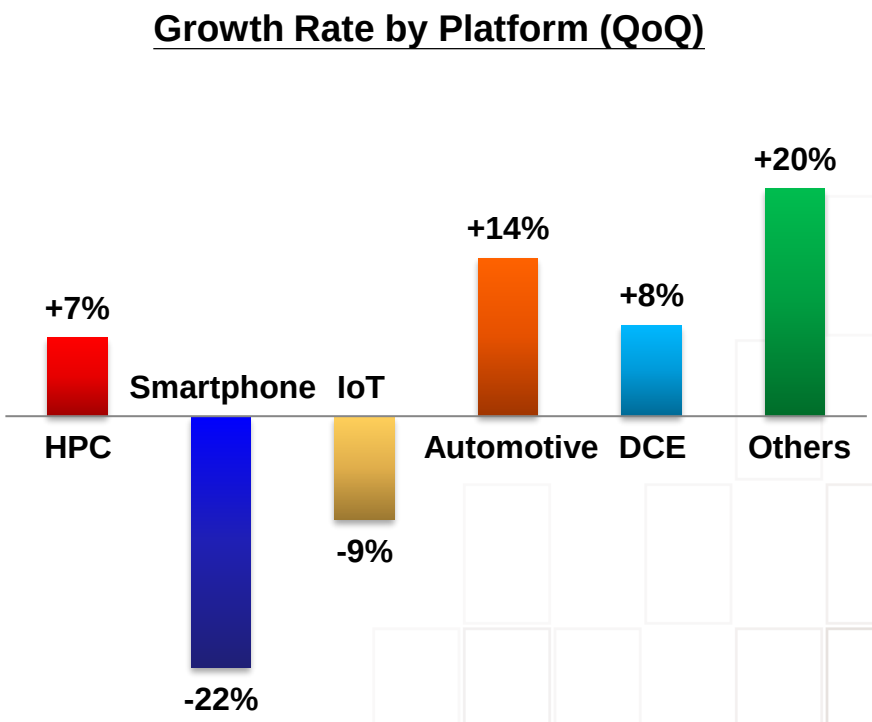
1Q25 Revenue by Technology





1Q25 Revenue by Platform





Balance Sheets & Key Indices

Selected Items from Balance Sheets *(In NT$ billions)*	1Q25		4Q24		1Q24	
	Amount	%	Amount	%	Amount	%
Cash & Marketable Securities	2,703.09	37.9%	2,422.02	36.2%	1,922.66	33.2%
Accounts Receivable	243.95	3.4%	272.09	4.1%	201.98	3.5%
Inventories	293.39	4.1%	287.86	4.3%	267.12	4.6%
Long-term Investments	160.79	2.2%	149.04	2.2%	138.47	2.4%
Net PP&E	3,400.81	47.7%	3,234.98	48.3%	3,051.85	52.7%
Total Assets	**7,133.29**	**100.0%**	**6,691.94**	**100.0%**	**5,787.89**	**100.0%**
Current Liabilities	1,399.80	19.6%	1,264.53	18.9%	1,026.18	17.7%
Long-term Interest-bearing Debts	986.98	13.8%	958.43	14.3%	965.56	16.7%
Total Liabilities	**2,531.66**	**35.5%**	**2,368.36**	**35.4%**	**2,122.18**	**36.7%**
Total Shareholders' Equity	**4,601.63**	**64.5%**	**4,323.58**	**64.6%**	**3,665.71**	**63.3%**
Key Indices						
A/R Turnover Days	**28**		**27**		**31**	
Inventory Turnover Days	**83**		**80**		**90**	
Current Ratio (x)	**2.4**		**2.4**		**2.4**	
Asset Productivity (x)	**1.0**		**1.1**		**0.8**	

* Total outstanding shares were 25,933mn units at 3/31/25

** Asset productivity = Annualized net revenue / Average net PP&E

Cash Flows

(In NT$ billions)	1Q25	4Q24	1Q24
Beginning Balance	**2,127.63**	**1,886.78**	**1,465.43**
Cash from operating activities	625.57	620.21	436.31
Capital expenditures	(330.83)	(361.95)	(181.30)
Cash dividends	(103.72)	(103.73)	(77.80)
Bonds payable	16.20	(1.75)	22.80
Investments and others	59.95	88.07	32.76
Ending Balance	**2,394.80**	**2,127.63**	**1,698.20**
Free Cash Flow*	294.74	258.26	255.01

* Free cash flow = Cash from operating activities – Capital expenditures

2Q25 Guidance

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Based on our current business outlook, management expects:

- **Revenue to be between US$28.4 billion and US$29.2 billion**

And, based on the exchange rate assumption of 1 US dollar to 32.5 NT dollars, management expects:

- **Gross profit margin to be between 57% and 59%**
- **Operating profit margin to be between 47% and 49%**

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Future Outlook

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Based on our current business outlook, management expects:

- **2025 revenue to increase by close to mid-20s% in US dollar terms**
- **While we have not seen any changes in our customers' behavior so far, uncertainties and risks from the potential impact from tariff policies exist. We will continue to closely monitor the potential impact on the end market demand and manage our business prudently.**

From 2024 to 2029, management expects:

- **Revenue CAGR to approach 20% in US dollar terms**
- **Long-term gross margin to be 53% and higher**
- **ROE to be greater than 25% through the cycle**

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Recap of Recent Major Events

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- **TSMC and MediaTek Demonstrate First Integrated PMU and PA for Wireless Connectivity Products on N6RF+ Process Technology (2025/03/12)**
- **TSMC Intends to Expand Its Investment in the United States to US$165 Billion to Power the Future of AI (2025/03/04)**
- **TSMC Board of Directors Approved NT$4.50 Cash Dividend for the Fourth Quarter of 2024 and Set June 12, 2025 as Ex-Dividend Date, June 18, 2025 as the Record Date and July 10, 2025 as the Distribution Date (2025/02/12)**
- **TSMC Board of Directors Approved the Convening of the 2025 Annual Shareholders' Meeting on June 3, 2025 (2025/02/12)**
- **TSMC Details the Impact of Earthquake. The Company Estimated Related Earthquake Losses to Be Approximately NT$5.3 billion, Net of Insurance Claim, and Will Recognize It in the First Quarter of 2025 (2025/02/10)**

- Please visit TSMC's website (https://www.tsmc.com) and Market Observation Post System (https://mops.twse.com.tw) for details and other announcements

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